

DEAL ADVISORY & TAX WORKPLAN

The scope of work is outlined in the following pages and is presented in the following work streams:

- A. Financial due diligence;
- B. Remuneration analysis;
- C. US Tax due diligence;
- D. UK Tax due diligence; and
- E. Tax advisory services (optional).

A. Financial Due Diligence

Unless otherwise noted, our work will concentrate on financial information of Gardiner & Theobald LLP's UK operations (excluding US and China Operations) for the last two fiscal years and the trailing-twelve month period at the date at which the most recent financial information is available (e.g. TTM Dec-23).

1. Overview

Read available information and meet with Target's officers in order to develop an understanding of Target, including its:

- Organization structure and management reporting relationships;
- Significant accounting estimates including percentage of completion ("POC") revenue;
- Basis of financial information including financial reporting, cost allocation methodologies and consistency in accounting policies; and
- Finance function.

2. Quality of earnings

Subject to information availability, propose potential adjustments to historical earnings before interest taxes, depreciation, and amortization ("EBITDA") by considering:

- The validity of adjustments identified by the Sellers and their advisors, if any;
- Sustainability of margins (including the impact of changes in POC estimates on the Target's earnings);
- Impacts of COVID-19;
- Pro forma impact of changes in Members/Partners' remuneration, including validation of Sellers estimate via benchmarking exercise outlined below;
- High level carve-out considerations (costs related to US and China operations);
- Impact of US royalties;
- Impact of provisions (including bad debt provisions, claims on contracts and loss making contracts), management estimates or adjusting entries on reported results ;
- Operational cash flows not captured within EBITDA (capitalized software costs, leases capitalized etc.);
- Related party transactions; and
- Any other large, unusual or non-recurring events or transactions that may have distorted results.

Supporting analysis to quality of earnings

i. Revenue, revenue recognition and margins

Obtain and read an analysis of the Target's revenues, direct expenses and margins, and inquire about:

- Gross-to-net revenue bridge, incl. payments to consultants and sub-contractors
- Revenue and margins by key project
- POC and typical gross profit recognition pattern (i.e. allocation of profits between project phases)
- Backlog including timing of realization

ii. Operating expenses

Obtain and read an analysis of the Target's operating expenses and inquire about:

- Headcount and personnel costs including salaries, benefits, commissions, incentive plans
- Lease costs, including lease contracts which are close to expiry and related renewal / relocation plans.

3. Working capital

- Comment on working capital trends / seasonality for most recent trailing-twelve month period and prior two fiscal years
- Identify sensitivities for cash flow management and normalize for items that may impact normal working capital trends
- Consider impact of potential non-recurring items.

Supporting analysis to working capital

i. Receivables

Obtain and read an analysis of the Target's receivables and inquire about:

- Accounts receivable aging and days outstanding
- Credit terms (including any special terms)
- Trade and non-trade balances
- Historical bad debt experience, allowance for uncollectible accounts and write-offs.

ii. Work in progress / Amounts recoverable on contracts

Obtain summary of work in progress by project/customer and comment on unusual items, fluctuations and significant balances

iii. Accounts payables and accrued liabilities / Trade and other payables

Obtain and read an analysis of accounts payables and accrued liabilities, inquiring about accounts payable aging and days outstanding and accrued liabilities profile. Analyze the expected unwind of deferred income

iv. Other current assets liabilities

Understand the nature, and valuation principles thereof.

4. Net debt / debt-like items

Summarize and comment on net debt items reported and other potential debt-like items within the Transaction perimeter including:

- Lease liabilities
- Corporate taxes payable
- Pension liabilities
- Non-operating accruals
- Pending or threatened litigation or investigations
- Commitments contingencies and any other material off-balance sheet transactions

5. Capital expenditure requirements

Obtain and read an analysis of Target's property, plant and equipment capital expenditures and enquire about historical, deferred and planned capital expenditures including:

- Maintenance versus growth capex
- Other historical, deferred and planned capex
- Impairment write-downs and other potential issues.

6. FY24 Budget

Obtain a copy of the Target's FY24 budget, bridge / reconcile revenue and EBITDA from prior periods and inquire about significant assumptions and estimates, including:

- Revenue assumptions (including backlog, pipeline and opportunities)
- Headcount and payroll assumptions
- Other direct and indirect cost structure

7. Assistance with transaction documentation (optional)

Review purchase agreement and all relevant definitions (e.g. NWC, debt-like items definitions and adjustment procedures).

Note: Fees for this optional procedure are in addition to the above fee estimate and will be billed at discounted hourly rates.

B. Remuneration analysis (optional)

Scope and fees TBD.

C. US Tax Due Diligence (optional)

Inquire regarding the US Federal and state and local income tax implications of the US royalty arrangement, including the US federal non-resident withholding implications and state and local income tax impacts on the target entities.

D. UK Tax Due Diligence

We understand that Hennick & Co are contemplating a potential investment in Gardiner and Theobald LLP ("UK Target").

Based on the latest financial statements, we understand that UK Target has a number of non-trading UK subsidiary companies. On the basis these companies are non-trading, we do not propose to carry out any UK tax due diligence procedures on these entities. We will, however, look to confirm the non-trading status of these companies via Management representations. Furthermore, we will not provide any tax due diligence services (or project management services) in respect of non-UK tax matters (e.g. US and China).

Approach

- With respect to Gardiner and Theobald LLP ("UK Target") any historical direct tax (i.e. tax on profits) risks generally will sit with the members, as such it should not be necessary to consider corporation tax (i.e. direct tax) matters in respect of UK Target. However, as an investor you will need to be comfortable that the partnership tax returns have been filed on time and that the positions taken in the partnership tax return are reasonable. Further, the historical tax treatment will inform the future tax profile, post investment (including partnership profits from a tax perspective). As such, our tax due diligence scope of work will include consideration of the filing position that UK Target has taken. A purchaser will also inherit their share of the potential liabilities relating to employment taxes and VAT.
- Our work in respect of the partnership tax returns will cover the financial periods ended 30 April 2022 and 30 April 2023 and any other periods open to normal HMRC enquiry. Our work in respect of VAT will cover the last four years. Our work in respect of Employment taxes will cover the last four tax years ended 5 April 2023 for PAYE, and last six tax years ended 5 April 2023 for National Insurance Contributions. Together, these periods are referred to as the "Historical Period". Where applicable, our work will also cover the "Period to Date" which is defined as the 8 months ended 31 December 2023.
- Our procedures will be undertaken through discussions with Management (and, where appropriate, the UK Target's tax advisers), publicly available information and through reading documents requested and made available to us throughout the process.
- Our findings will be presented in the form of a tax due diligence report in which we will comment on key tax risks and exposures which come to our attention during our work. The procedures we will use to perform the work set out in this scope of work will not constitute an audit or review made in accordance with any generally accepted auditing standards.
- W&I: Where required, we will discuss with and provide responses to questions raised by warranty and indemnity ("W&I") insurance providers in relation to our due diligence. Our fees for this will be agreed with you prior to commencement of this work, and will depend on the extent of questions raised by the provider.

Tax profile

- Comment on UK Target's internal tax compliance and reporting functions and use of tax advisors.
- Comment on ongoing HMRC inspections / visits / audits involving UK Target as well as any which have closed within the Historical Period. Where applicable, we will summarise the outcome (or Management's assessment of the expected outcome) and highlight actions taken by Management as a result.

- Comment on tax planning that has been implemented by UK Target, and whether this planning has been disclosed to HMRC.
- Comment on written tax advice received by UK Target in respect of acquisitions, disposals and/or reorganisations which have occurred during the financial periods ended 30 April 2022 and 30 April 2023 and Period to Date. We will highlight tax issues which have been specifically raised by the advice received by UK Target. As part of our due diligence work, we will not re-perform any analysis conducted, or perform any analysis which has not been undertaken. To the extent no formal advice was sought, we will highlight this, but we will not perform any detailed analysis to confirm whether the transaction(s) would give rise to any tax risks.
- Comment on potential permanent establishment risks arising in respect of overseas activities, including consideration of employee/contractor location and travel, and the processes in place to manage these risks.
- Comment on whether UK Target has made claims under the Coronavirus Job Retention Scheme (“**CJRS**”). We will enquire of Management as to the approximate number of employees affected and total value of claim(s) made, the time period over which the claims were made, and comment on HMRC correspondence in respect of the claims. We will not analyse or comment on the calculation of the claims.

Partnership taxes

- Summarise and comment on the submission status of the partnership tax computations and returns for the financial years ended 30 April 2022 and 30 April 2023. By exception, we will also comment on partnership tax returns that have been re-submitted to HMRC for earlier periods, where these remain open to HMRC enquiry under the normal (i.e. not discovery) HMRC enquiry window.
- Comment on disclosed material intra-group or other related party trading arrangements and the basis of pricing. Summarise correspondence with any tax authority in relation to the transfer pricing policy and the transfer pricing documentation position. To the extent that no formal transfer pricing advice has been sought, we will highlight this, but we will not perform any detailed analysis to confirm whether the transaction would give rise to any tax risks. Note that our scope of work will not include any detailed transfer pricing work and we will not independently seek to confirm the appropriateness of transfer pricing policies, including for the avoidance of doubt undertaking any benchmarking studies.
- Highlight any risks, and comment on any advice or action taken by UK Target in respect of salaried member rules.
- Highlight any risks, and comment on any advice or action taken by UK Target in respect of mixed member partnership rules.

UK VAT

- Enquire as to the VAT registration status of UK Target and comment on current/previous VAT Groups where members share joint and several liability for VAT debts.
- Enquire of Management what VAT periods are operated and whether all VAT returns and payments for the 12 months prior to the most recent VAT return period date have been submitted within the relevant deadline and whether associated Surcharge Liability Notices have been received.
- Provide brief comments on the VAT liability the UK Target applies to income sources, the processes in place to determine the VAT treatment of supplies made, and whether agreements have been reached with HMRC in connection with the VAT treatment of supplies made. Please note, this will not constitute a detailed product file review for VAT purposes.
- If applicable, comment on the evidence held to support zero rating or exemption of supplies made through a discussion with Management. Please note this will not involve a review of documentary evidence.
- Comment on UK Target’s VAT recovery status, whether VAT recovery is routinely restricted on statutorily blocked items.
- Comment on the application of a partial exemption (or business/non-business) method, where appropriate. Please note that our work in this regard will be limited to commentary on the partial exemption method applied, the tax advice received in support of this position and whether the position has been agreed with HMRC (where a non-standard method has been applied). We will not comment on the reasonableness of the method applied or seek to recalculate the applicable partial exemption percentage.
- Comment on whether UK Target has made, or identified a requirement to make, disclosures for VAT compliance errors in the Historical Period. Enquire of Management whether appropriate controls have been introduced to prevent reoccurrence.

Employment taxes

- Enquire of Management whether the UK Target has made its Real Time Information submissions on an accurate and timely basis, and whether PAYE and NIC remittances have been made on time.
- Enquire of Management whether officeholders (including both executive and non-executive directors) are paid via the payroll. Please note that this will not include a detailed review of the employment status of officeholders.
- Summarise and comment on potential PAYE and NIC issues relating to the engagement of self-employed contractors. Please note that this will not involve a detailed analysis nor review of employment status, but we will comment on the approach taken in relation to the engagement of self-employed contractors and highlight any risks identified.
- Enquire of Management whether termination payments have been made to employees on redundancy or on ceasing their employment within the Historical Period and Period to Date, and if so, summarise potential PAYE and NIC issues.
- Enquire of Management whether the UK Target operates tax efficient pay arrangements (e.g. salary sacrifice).
- Comment on the processes and controls in place in respect of expense claims.
- Summarise the tax implications of employees holding interests in the LLP or shares in any group company through employee incentive schemes (if applicable).

Assumptions and limitations

- To the extent that tax liabilities or risks are identified as part of the due diligence procedures we will quantify tax exposures based on the information provided and/or will comment on the calculation of any liability provided to us. However, our scope of work excludes any follow up work to quantify any exposures where the information is not readily available including calls and correspondence with advisers on the technical detail behind the calculations.
- We would be happy to agree a scope and fee proposal for any items not covered in the above scope of work, including those set out below.
- Our advice will not constitute a transfer pricing analysis to support the quantum of debt, interest rate or pricing of related party transactions. Our work will be limited to commenting on the potential application of UK transfer pricing legislation.
- The National Minimum Wage (“**NMW**”) is currently an issue across a number of sectors and you may wish to assess liabilities, risks or exposures in this area.
- In respect of acquisitions, disposals or reorganisations within the Historical Period, our scope of work does not include us re-performing any analysis which has been obtained within advice received by the Group. To the extent no formal advice has been sought, we will not perform any detailed analysis to confirm whether or not a transaction could give rise to any tax risks.
- Our scope of work does not include considering any of the tax assumptions in the financial model.
- For the avoidance of doubt, our work will not extend to a detailed consideration of share incentive plans (or other documentation), obtaining clearances or confirmations from HMRC or contractual protections against identified risks.

F. Tax Structuring

The following represents the most common structuring procedures encountered in transactions of this type. At your request, we will assist with one or more of the following. As described above, all structuring services are billed based upon actual time incurred at agreed-upon rates.

1. Provide tax advice on the preferred tax-efficient acquisition structure of the shares and/or assets of Target, including the following:
 - a) Consider structuring alternatives to minimize withholding tax;
 - b) Assist with the determination of the quantum of shareholder debt and the applicable interest rate for such debt;
 - c) Post-acquisition structuring considerations to improve tax efficiencies of the business on a go-forward basis;
 - d) Tax deductibility of interest expense and transaction costs;
 - e) Assist with purchase price allocation for tax purposes; and
 - f) Consider transfer taxes as a result of the proposed transaction.
2. Read drafts of the purchase agreement and offer commentary to you and legal counsel primarily concerning sections relating to tax matters based on the results of the due diligence assistance we provide.